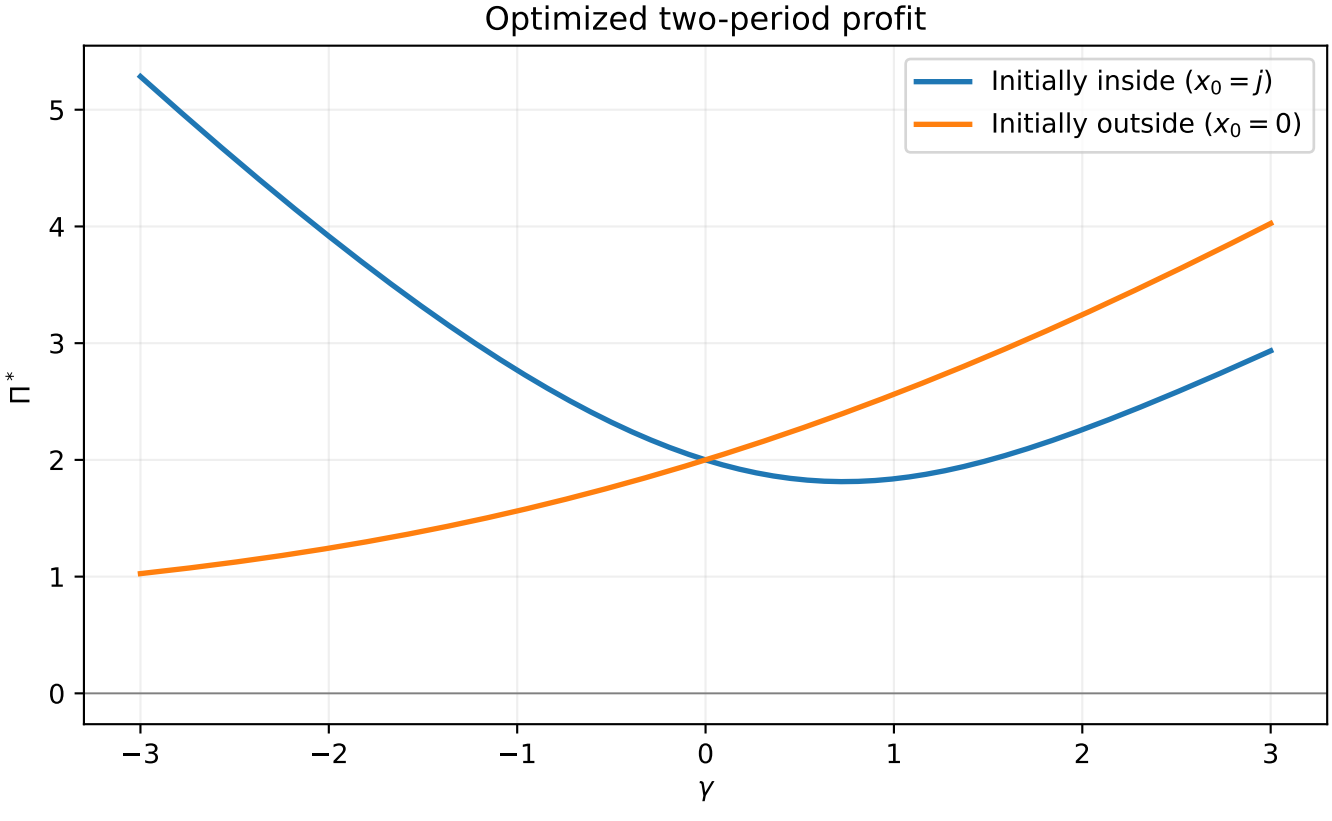
Optimized two-period profit
Initially inside ($x_0 = j$)
Initially outside ($x_0 = 0$)
Π^*
γ
5
4
3
2
1
0
−3
−2
−1
0
1
2
3